You are the audit senior on the audit of the financial statements of Personalised Bikes Ltd ('Bikes'), for the year ended 30 June 20X7. You are reviewing the results of the trade payables circularisation carried out at 30 June 20X7 so that you can design the further substantive tests that the audit team will carry out to complete the trade payables circularisation testing.

Your audit junior has summarised the results of the circularisation, in a spreadsheet (Appendix) and included comments obtained from Bikes' financial controller regarding the results. All amounts are GBP unless stated otherwise.

Required:

Design further substantive tests to complete the trade payables circularisation testing.

(19 marks)

APPENDIX

Supplier	Balance per trade payables ledger	Balance per trade payable circularisation response	Difference	Comments
Bikehandle Ltd	63,534	63,534	Nil	Agreed
Continuous Chain Ltd	27,893	Unknown	27,893	Supplier denies ever trading with Bikes but we clearly did.
Grindmygears Inc	55,710	USD 70,601	??	Our only overseas supplier!
Heavenly Seat Ltd	30,782	54,934	24,152	We paid invoice HS34 for £24,152 on 28 June 20X7 by direct online payment.
Shock Absorbers Ltd	45,670	45,670	Nil	Balances agree but we are disputing the quality of the goods recently received.
Round Wheel Ltd	46,200	No reply	-	-
Superior Brake Pads Ltd	31,900	45,237	13,337	We have sent goods back to supplier totaling £13,337. Credit note has not yet been received.
Shifting Gear Ltd	25,230	25,230	Nil	N/A